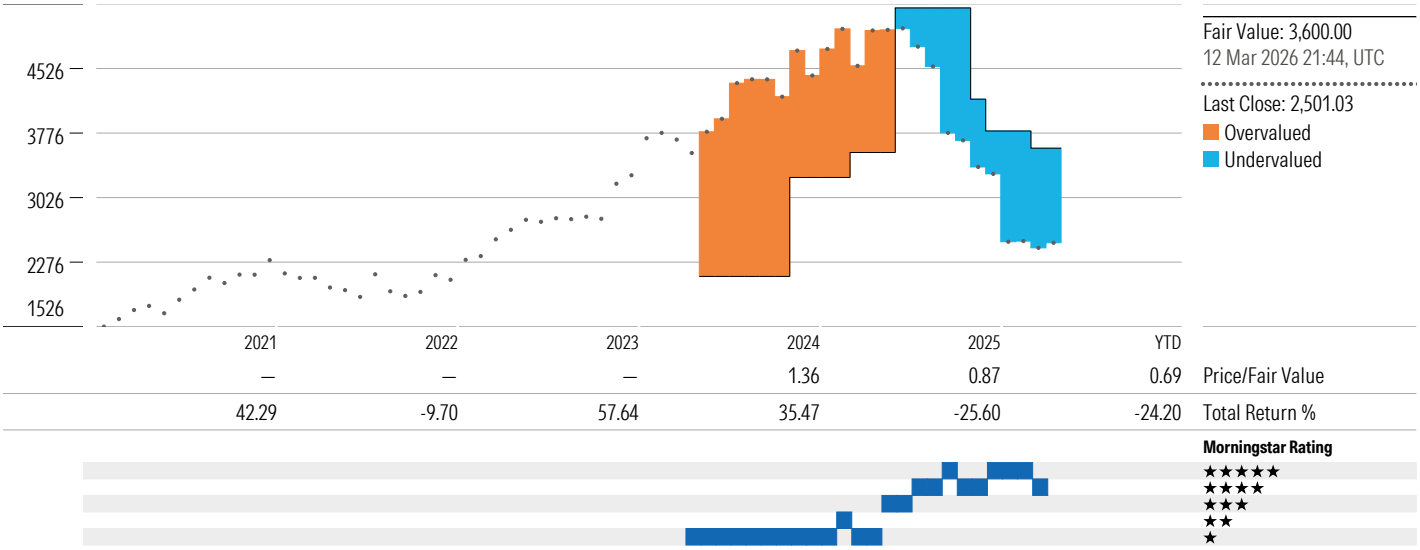
# Constellation Software Inc CSU ★★★★★ 24 Apr 2026 21:53, UTC

| Last Price | Fair Value Estimate | Price/FVE | Market Cap | Economic Moat™ | Equity Style Box | Uncertainty | Capital Allocation | ESG Risk Rating Assessment[1] |
|---|---|---|---|---|---|---|---|---|
| 2,501.03 CAD<br>23 Apr 2026 | 3,600.00 CAD<br>13 Mar 2026 02:44, UTC | 0.69 | 51.09 CAD Bil<br>24 Apr 2026 | Narrow | Large Blend | Medium | Exemplary | 22 Apr 2026 05:00, UTC |

**Price vs. Fair Value**




| | 2021 | 2022 | 2023 | 2024 | 2025 | YTD | |
|---|---|---|---|---|---|---|---|
| | — | — | — | 1.36 | 0.87 | 0.69 | Price/Fair Value |
| | 42.29 | -9.70 | 57.64 | 35.47 | -25.60 | -24.20 | Total Return % |

**Morningstar Rating**

★★★★★
★★★★
★★★
★★
★

Total Return % as of 23 Apr 2026. Last Close as of 23 Apr 2026. Fair Value as of 12 Mar 2026 21:44, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

## Constellation Software Is the Leading Vertical SaaS Acquirer

**Business Strategy & Outlook** Eric Compton, CFA, Director, 12 Mar 2026

Constellation Software is a holding company that acquires, manages, and develops vertical market software, or VMS. Through their six operating groups, the company has purchased upwards of 1,000 businesses which are operated in a decentralized manner. Each business operates independently of the other portfolio companies allowing their respective unit heads to manage the business in a manner they deem most appropriate. Excess cash generated by each business unit is repatriated to portfolio managers who redeploy the capital to acquire new businesses.

Within Constellation's acquisition framework, the company typically targets businesses with diverse customer bases generating greater than $5 million in revenue with strong market share in a niche vertical market. Constellation's accumulation of diverse businesses protects the firm from certain idiosyncratic risks, as any single business failure is likely immaterial to the overall value of the firm. Nonetheless, the significant scale achieved by the company now poses a headwind, as the quality of small VMS targets continues to dwindle making it difficult for Constellation to deploy sufficient capital at desired rates of return to grow the business. We are confident, however, that management will be able to overcome much of this problem by lowering their hurdle rates to be more competitive on larger purchases, targeting acquisitions in new geographies, and eventually expansions into new categories beyond VMS.

It is our view that Constellation's highly decentralized model, providing operating managers with

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**Sector** Technology

**Industry** Software - Application

**Business Description**

Constellation Software is an acquirer, manager, and developer of vertical market software, or VMS, businesses globally. VMS differentiates from horizontal software in that it provides mission critical solutions within a specific industry for customers in a particular market. Constellation operates through a decentralized model in which each business operates as its own independent entity. Managers of individual businesses are incentivized to optimize their business for returns on invested capital and revenue growth. Excess cash generated by the individual businesses is repatriated to portfolio managers who focus on allocating as much capital as possible on new acquisitions. As of 2026, Constellation consisted of over 1,000 individual businesses.

autonomy to manage the day-to-day operations and foster customer relationships is a key driver of the firm's success. As a result, we would expect Constellation to continue to execute on their acquisition playbook, even as deal sizes are likely to grow and return profiles possibly diminish.

**Bulls Say** Eric Compton, CFA, Director, 12 Mar 2026

- Software business owners are expected to retire in large numbers in the coming years, giving Constellation a greater number of acquisition targets, which could accelerate growth.
- As Constellation lowers their hurdle rates to accommodate larger acquisitions, they are poised to drive a greater amount of growth.
- Constellation is a consistent compounder, deploying current cash flow to continually acquire more, high-return cash flow at reasonable prices. Long-term cash flow compounders are attractive assets.

**Bears Say** Eric Compton, CFA, Director, 12 Mar 2026

- New technologies, such as AI, are making it easier than ever to create new software solutions. As a result, Constellation's portfolio companies may face increased competition.
- It is hard to tell how far Constellation can scale with its current acquisition-driven playbook. Eventually, as Constellation grows ever larger, deal sizes will have to increase, potentially diluting returns and future growth prospects.
- It is hard to understand what Constellation will be able to do with its Sabre share accumulation, given Sabre's debt load that it is struggling to service.

**Economic Moat** Eric Compton, CFA, Director, 12 Mar 2026

We assign a narrow economic moat to Constellation Software supported by switching costs and intangible assets. We think it is more likely than not that the company will produce excess economic returns over the next 10 years.

In our view, several factors support switching costs within a software solution. A key element relates to the criticality of the offering, as more integral solutions will likely have greater touch points within an organization resulting in stronger switching costs. Operational risk can also contribute to switching costs as changing vendors can result in significant re-engineering and potential data loss. Finally, general inertia can also contribute significantly to switching costs as customers may have spent decades getting acquainted with a specific system and may be reluctant to alter their habits.

As a serial acquirer of VMS companies, Constellation now operates more than 1,000 distinct businesses. Although it is impossible to determine the moat of every business within their portfolio, we think it is safe to assume the majority of their businesses have some level of economic moat, given the nature of vertical market software. By definition, VMS is designed specifically to address the needs of a particular industry. As a result, these businesses typically have strong pricing power and long customer durations as few alternative solutions may exist to service the niche industry they address.

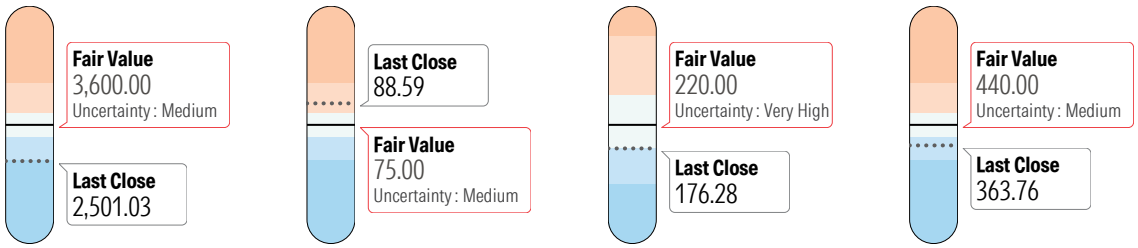
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## Competitors




| | Constellation Software Inc CSU | Cisco Systems Inc CSCO | Oracle Corp ORCL | Roper Technologies Inc ROP |
|---|---|---|---|---|
| Economic Moat | Narrow | Wide | Narrow | None |
| Currency | CAD | USD | USD | USD |
| Fair Value | 3,600.00 12 Mar 2026 21:44, UTC | 75.00 12 Feb 2026 02:40, UTC | 220.00 11 Mar 2026 02:40, UTC | 440.00 23 Apr 2026 21:28, UTC |
| 1-Star Price | 4,860.00 | 101.25 | 385.00 | 594.00 |
| 5-Star Price | 2,520.00 | 52.50 | 110.00 | 308.00 |
| Assessment | Undervalued 23 Apr 2026 | Overvalued 23 Apr 2026 | Fairly Valued 23 Apr 2026 | Undervalued 23 Apr 2026 |
| Morningstar Rating | ★★★★★24 Apr 2026 21:53, UTC | ★★23 Apr 2026 21:25, UTC | ★★★23 Apr 2026 21:24, UTC | ★★★★23 Apr 2026 21:32, UTC |
| Analyst | Eric Compton, Director | William Kerwin, Senior Equity Analyst | Luke Yang, Equity Analyst | Eric Compton, Director |
| Capital Allocation | Exemplary | Exemplary | Standard | Standard |
| Price/Fair Value | 0.69 | 1.18 | 0.80 | 0.83 |
| Price/Sales | 3.26 | 5.98 | 7.99 | 4.81 |
| Price/Book | 10.82 | 7.33 | 15.11 | 1.98 |
| Price/Earning | 67.07 | 31.95 | 33.74 | 22.72 |
| Dividend Yield | 0.22% | 1.86% | 1.13% | 0.95% |
| Market Cap | 51.09 Bil | 351.58 Bil | 498.36 Bil | 36.18 Bil |
| 52-Week Range | 2,196.00—5,300.00 | 55.16—90.45 | 132.00—345.72 | 313.07—584.03 |
| Investment Style | Large Blend | Large Value | Large Blend | Mid Blend |

Nonetheless, some VMS businesses are more disruptive than others, and thus some vertical market software businesses cannot develop a wide economic moat. For example, Constellation operates a company named Syscon Justice Systems through its Harris operating group. Syscon provides offender management systems for correctional agencies globally. The software can be used to track inmate locations, case planning, parole schedules, and educational work, manage the commissary, and create reports. This is likely a business with a wide economic moat, given it addresses a mission-critical function, generates significant amounts of sticky government revenue, and services a niche industry with few alternatives. Comparatively, within their Jonas operating group, Constellation owns a company called Salon Software Solutions. As one might expect, SSS acts as a point-of-sale solution servicing the salon industry. Although it is not uncommon for POS systems targeting niche industries, such as Toast, to develop narrow economic moats, competition from more generalized POS systems, such as Clover and Block, makes it difficult for these companies to achieve wide moats. Here lies the problem with

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determining the proper scale of Constellation's moat rating: What percentage of revenue is attributable to wide moat, narrow moat, and no moat businesses within their consolidated portfolio?

Given the nature of VMS and the company's extensive history of generating returns on invested capital in excess of cost of capital, it seems apparent they benefit from an economic moat supported by switching costs. The justification for our narrow moat designation as opposed to a wide moat is attributable to two key factors: a) the lack of metrics provided by the company, and b) the sub-scale nature of the businesses they operate. In assessing the strength of a company's moat, metrics are incredibly important as one might be able to deduce the stickiness or pricing power of a business relative to a competitor. These would include total customers, customer retention, revenue retention, revenue attributable to particular end markets, and so on However, none of this is provided by Constellation.

Prior to 2020, management divided the company into two segments, public sector and private sector. Nonetheless, the company now operates under a single segment and management no longer provides data on attrition. If we assume that Constellation's client base has remained relatively similar with public customers still accounting for the majority of the revenue it would be safe to assume revenue retention is likely still in the low 90s. Although this retention rate is consistent with other moat bearing companies, it would be below those of many wide moat software firms such as Tyler Technologies. Given the company does no provide sufficient information with regard to their client base or retention metrics, it is difficult to assume these have improved, and thus feel a narrow moat designation is warranted.

The second factor driving our narrow moat rating relates to the size of the businesses Constellations acquires and operates. Although the company does not specify the average size of their respective businesses, we think it is safe to assume the average portfolio company generates under $20 million in revenue per year. As a result, we think many of Constellation's businesses are at a competitive disadvantage when competing against better capitalized firms with greater focus on a particular end market.

Notably, as Constellation has begun to focus on larger acquisitions as the scale of the firm has become so large that growth now depends on larger deals, the company is exposed to greater amounts of risk. Specifically, greater execution risk as they move into new sectors and fewer attractively priced targets as they lower hurdle rates to remain more competitive for acquisitions could impact ROICs.

In addition to switching costs, we also believe Constellation benefits from a secondary moat source in the form of intangible assets. Although intangible assets are a rare moat source for software businesses, this judgment is based on the fact that we view this company more as an asset manager that just so happens to acquire software companies. With more than 1,000 deals under its belt, the

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company has a proven track record of acquiring and running software companies. As such, Constellation has been able to consistently generate returns in excess of their cost of capital.

Constellation is unique relative to other large acquirers in that when they purchase a business, it is their commitment to never sell the asset. Unlike normal enterprises or private equity firms who may seek to extract synergies through employee optimization initiatives, owners of businesses can feel comfort when seeking to sell their firm knowing that their company will be managed responsibly and with a long-term orientation. As a result, we think this gives Constellation preferred acquirer status, particularly for founder-led mid-market enterprises, as many sellers look to find a forever home for their business.

While we think management has demonstrated their prowess in sourcing and closing new deals, we think the company's moat rating is limited to narrow. This is largely attributable to the fact that there is inherently a limit to the number of businesses they can acquire at a given rate of return, and there is likely some key man risk within the company. Management has been clear that as the firm gets larger, it becomes increasingly difficult to scale the number acquisitions the company can achieve at attractive rates of return. This has pushed managers to make larger acquisitions at lower hurdle rates, explore new geographies, and expand beyond VMS. Furthermore, it is likely that many of the company's current executives and managers who helped start this business won't be leading the company in 20 years. All of these factors lead us to believe a narrow moat rating is more reasonable.

**Fair Value and Profit Drivers** Eric Compton, CFA, Director, 12 Mar 2026

Our fair value estimate of CAD 3,600 per share implies a fiscal 2026 EV/sales ratio of 8 times and an adjusted forward 2026 price/earnings ratio of 35 times. Our discounted cash flow model uses a 7.4% weighted average cost of capital.

We model a 10-year CAGR for revenue of 10%. We believe organic growth is likely to be in the low single digits, with growth from acquisitions in the high single digits annually (low teens initially, slowing to midsingle digits over time). We believe the primary limitation on Constellation's growth prospects is management's ability to identify sufficient opportunities to generate appropriate returns. We also expect that growth can be uneven, given the potential deal sizes. The existing software business is overwhelmingly recurring, at about 75% of revenue, which we expect to increase over time.

Constellation's revenue growth in any given year is driven by the underlying organic growth of its respective businesses as well as the incremental revenue generated through acquisitions. Since 2016, annual revenue growth has varied between the low teens and high 20s. Organic growth has consistently been in the low single digits, as most of the firm's end markets are relatively mature. As a result, almost all the growth generated in a given year can be attributed to acquisitions. We expect this trend to continue for the foreseeable future, as we anticipate organic growth will remain in the low

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single digits.

As of 2022, Constellation's coverage ratio was only 30%, meaning they were only aware of 30% of the VMS transactions that occurred during 2022. Although it is impossible to achieve a coverage ratio of 100%, management believes it can reach one of 60%, which would result in twice the amount of capital being deployed. Between 2015-24, the number of VMS targets within Constellation's proprietary database has increased to over 40,000 from 10,000. This suggests there is still meaningful runway for the acquisitions playbook.

With respect to profitability, we expect margins to improve moderately as more revenue shifts toward SaaS-based solutions, and as the amortization from past acquisitions becomes a smaller percentage of overall expenses. The transition away from on-premises solutions should result in fewer sales from hardware and professional services implementations, which are typically lower margin. As a result, we expect Constellation's operating margins to improve from the mid-teens to over 20% over the next decade. Growing revenue and improved profitability will drive greater free cash flow available to shareholders, which we expect to grow slightly faster than revenue.

**Risk and Uncertainty** Eric Compton, CFA, Director, 18 Jun 2025

We assign a Medium Morningstar Uncertainty Rating to Constellation. As a highly diversified conglomerate of over 1,000 vertical software businesses across 150 verticals globally, we think Constellation faces minimal idiosyncratic risk. No single portfolio company consists of greater than 10% of revenue, making any individual company's failure relatively insignificant to the total business.

Almost all of the risks associated with the business relate to the company's M&A strategy and potential disruption associated with new technology developments. As the company's growth continues to rely on larger acquisitions, management will lower hurdle rates to increase its ability to remain competitive with other bidders. Higher acquisition prices will result in larger amounts of intangibles and goodwill being added to the balance sheet, which could affect ROICs. Larger acquisitions will also consolidate revenue within specific businesses, which could eventually increase the amount of idiosyncratic risk faced by the company, as single failures could become more impactful for the consolidated business.

We also believe innovations associated with artificial intelligence may affect many of their underlying businesses. Given that the average size of Constellation's portfolio companies is less than $20 million in revenue, they may not have sufficient scale to invest in new and emerging technologies. As a result, new technologies may be particularly disruptive, given Constellation's portfolio companies may not have adequate capacity to keep up with the pace of innovation.

**Capital Allocation** Eric Compton, CFA, Director, 12 Mar 2026

We assign Constellation Software an Exemplary Capital Allocation Rating supported by a sound balance

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sheet, an exceptional investment history, and an appropriate record of shareholder distributions. We expect capital allocation to primarily focus on additional acquisitions, with regular dividends and reinvestments into the underlying portfolio companies remaining a relatively small use of funds. We also expect the company to satisfy its debt obligations as they mature, which we do not view as an issue.

Constellation's balance sheet consists of $5.4 billion in debt. Given that the company generates operating cash flow margins between 20% and 30% and maintains over $3 billion in cash on its balance sheet, we anticipate no issues with the debt load.

As a serial acquirer of vertical market software, there are likely few companies that have been as successful as Constellation at generating positive economic profits from acquisitions. In 2016, Constellation spent $178 million net of cash acquired on M&A. As of 2025, cash spent on acquisitions has increased to over $1.5 billion, a figure we expect to continue growing each year. Despite the significant increase in capital deployed, ROICs have remained well above their cost of capital, demonstrating management's ability to find value-accretive businesses. Doubters have long questioned the scalability of Constellation's business model, as it relies almost entirely on its ability to execute a greater number of acquisitions to grow. Although this criticism is not unwarranted, we believe management will get around this scalability issue by deploying increased capital on larger acquisitions and businesses outside of its traditional VMS scope. Given management's successful investment track record, we think the team will be successful at increasing the amount of capital it deploys at reasonably attractive, if not diminishing, rates of return.

The company pays a quarterly dividend of $1 per share, which we do not expect to increase. While special dividends have occurred in the past, we do not expect that practice to continue, as all excess cash is expected to be used to acquire new businesses. The company has no history of share buybacks, and based on management's commentary, we do not expect that to change.

## Analyst Notes Archive

### Constellation Software Earnings: Acquisition Spending Below Expectations; Mixed on Sabre Deal

Eric Compton, CFA,Director,12 Mar 2026

Constellation Software reported fourth-quarter results with organic revenue growing 6% year over year and total revenue increasing 18%. Total consideration for acquisitions during the quarter reached $571 million, with another $802 million in deals closed or committed post-quarter. Why it matters: Organic revenue growth grew faster than our expectations of low-single-digit growth, but this was primarily driven by foreign-exchange movements. Management reiterated that low single digits remains its expectation. Capital deployed during the quarter was slightly below our expectations. Given the lower-than-expected capital deployment, the inorganic revenue contribution came in below our projections,

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contributing roughly $315 million to total sales. Management also formally introduced its "Permanent Engaged Minority Shareholder" framework, where they look to invest in public equities as another outlet for their capital. Sabre was the most notable example of this recently. The bottom line: We are slightly reducing our fair value estimate for narrow-moat Constellation to CAD 3600 from CAD 3800 as we trim our acquisition spending assumption and our free cash flow assumptions. We view shares as undervalued, trading roughly 30% below our FVE. Big picture: While management stated that the new "PEM" strategy was more about identifying opportunities in public equities, given lower stock prices, it could also be interpreted as a sign that private investment opportunities are not sufficient to deploy as much capital as they would like. Related to this, management admitted that private company prices have not moved down like public equities. A bull case for Constellation would be that current AI fears would create better buying opportunities in private equities; so far, that does not seem to be playing out. Management also admitted that it is not seeing AI monetization yet. Monetization and better acquisition prices will be two key trends to watch.

**Constellation Earnings: Pace of Acquisition Activity Below Expectations; Reduce Fair Value Estimate**
Alex Medow,Equity Analyst,10 Nov 2025

Constellation Software reported third-quarter results with organic revenue growing 5% year over year and total revenue including the impact of currency and acquisitions increasing 16% year over year. Total consideration for acquisitions during the quarter reached $415 million. Why it matters: Although organic revenue grew faster than we anticipated, acquired revenue failed to meet our expectations. The pace of capital deployment continues to be slower than our forecast. Year to date, total consideration for acquisitions have declined nearly 14% year over year to $1 billion. Originally, we had forecast over $1.8 billion in capital deployed by Constellation in fiscal 2025. Given the slower pace through three quarters of the year, we do not anticipate Constellation will achieve this estimate. We now assume our long-term mergers and acquisitions forecast was too aggressive On a positive note, operating margins and free cash flow available to shareholders improved meaningfully during the quarter, increasing by 170 basis points and 46%, respectively, year over year. The bottom line: We are reducing our fair value estimate for narrow-moat Constellation Software from CAD 5,230 to CAD 4,170. Despite the fair value reduction, we continue to view shares as undervalued based on the current share price. Big picture: Constellation's valuation largely depends on management's ability to source and close acquisitions at its required rate of return. Although M&A activity has stalled below $2 billion annually in capital deployments, we are confident acquisition activity will return to growth. Although management does not provide guidance, it appears Constellation has had a fast start to the fourth quarter. Total consideration for acquisitions since the end of the third quarter reached $455 million, representing 27% growth year over year—a sign things are moving in the right direction.

**Constellation Software: Visionary Founder Unexpectedly Resigns for Health Reasons** Alex

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# Constellation Software Inc CSU ★★★★★ 24 Apr 2026 21:53, UTC

| Last Price | Fair Value Estimate | Price/FVE | Market Cap | Economic Moat™ | Equity Style Box | Uncertainty | Capital Allocation | ESG Risk Rating Assessment[1] |
|---|---|---|---|---|---|---|---|---|
| 2,501.03 CAD<br>23 Apr 2026 | 3,600.00 CAD<br>13 Mar 2026 02:44, UTC | 0.69 | 51.09 CAD Bil<br>24 Apr 2026 | Narrow | Large Blend | Medium | Exemplary | 22 Apr 2026 05:00, UTC |

Medow,Equity Analyst,25 Sep 2025

On Sept. 25, Constellation Software announced the unexpected resignation of its president and founder, Mark Leonard. Mark Miller, the current chief operating officer, has been appointed as president while Leonard will remain involved with the company as a director on the board. Why it matters: Mark Miller joined the company in 1995 through Constellation's first acquisition, Trapeze Software. Since then, he has held many roles within the organization. We think Miller is well suited to maintain Constellation's existing culture and approach to capital allocation. Miller presently holds positions in the company as a board member, COO, and executive chairman of Constellation's Volaris Group. Previously, he operated as the CEO of the Volaris Group. Miller's extensive experience in the company should allow for a smooth transition. We caution investors about associating the news with Constellation's conference call on Sept. 22 regarding artificial intelligence. Despite the optics, we think the board's promotion of Miller indicates it would like to maintain the existing strategy. The bottom line: We view the company as undervalued and reiterate our fair value estimate for narrow-moat Constellation software of CAD 5,230. Although Constellation Software will certainly miss Mark Leonard's presence, this news does not have any impact on the company's strategy or acquisition pipeline. Revenue should continue to compound between 15% and 20% annually over the next 10 years driven by growing acquisition activity. We also forecast a midteens compounding of free cash flow available to shareholders supported by continued operating leverage.

**Constellation Software: Artificial Intelligence Concerns Overblown; Reiterating FVE of CAD 5,230**

Alex Medow,Equity Analyst,24 Sep 2025

Constellation Software hosted a conference call on Sept. 22 to address investor inquiries surrounding the topic du jour: artificial intelligence. Much of the conversation centered around AI's impact on vertical market software and how its respective businesses are using the technology. Why it matters: Constellation is a remarkably quiet company, which makes its decision to host an AI call all the more notable. The company is using AI internally to develop incremental solutions and automate workflows, but doesn't believe AI can replace VMS installations, a position with which we agree. Small context windows and open-source training bias limit large language models' ability to handle entire VMS codebases, limiting their contextual understanding of the program. Gains in writing new code with AI are often offset by losses in maintaining and troubleshooting existing code. Management believes CSI's cross-customer insights and close relationships help its businesses understand client workflows better than the clients, allowing them to deploy AI to automate processes more effectively across units than end users could. The bottom line: We reiterate our fair value estimate of narrow-moat Constellation software of CAD 5,230 as we do not foresee AI will pressure margins or affect the firm's ability to acquire new companies. Despite caution surrounding certain verticals, such as customer support software, where AI is poised to have an outsized level of disruption potentially, underwriting constraints

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remain unchanged, and the pipeline remains healthy. Management noted that LLM providers have little pricing power given the number of models allowing the company to maintain historical margins. Key stats: One operating group is developing an AI product across 27% of its business units. Another is using AI for 50% of customer service within its business units. Three percent of business units replied to a survey, indicating they had replaced full-time employees with AI tools.

**Constellation Software Earnings: Organic Growth Drives Solid Quarter Despite Lower Acquired Revenue** Alex Medow,Equity Analyst,11 Aug 2025

Constellation Software reported second-quarter results characterized by annual revenue and free cash flow available to shareholders growth of 15% and 21%. Acquisition spending amounted to $469 million, a decline compared with $626 million spent during the same period one year ago. Why it matters: Organic revenue increased 5% year over year (4% constant currency), a sequential improvement compared with flat organic growth generated in first quarter. Inorganic revenue declined slightly compared with the first quarter, contributing nearly $260 million to total sales. Organic revenue growth of 5% beat our internal expectations of low-single-digit growth. This exemplifies the strong pricing power of their vertical market subsidiaries. Free cash flow available to shareholders beat our estimates by 10% and indicates the firm's impressive ability to compound cash flow. Despite the year-over-year decline in acquisition spending, mergers and acquisitions outlays increased over 250% compared with first quarter. This was primarily due to Topicus' acquisition of Cipal Schaubroeck for $258 million. The timing of acquisition spending is choppy and varies quarter by quarter. The bottom line: We keep our fair value estimate for narrow-moat Constellation Software at CAD 5,230 as our long-term outlook is unchanged. We view shares as undervalued, with shares trading 14% below our fair value estimate. Coming up: Management does not provide financial guidance; however, we are now anticipating full-year revenue of $12.1 billion, relatively consistent with our previous estimate and increasing our free cash flow available to shareholders estimate by $20 million, driven by outperformance in the second quarter. Subsequent to the end of the second quarter, Constellation disclosed $319 million in capital that has already been used in completed or open commitments for future acquisitions. This is a positive signal regarding their ability to increase deal flow for the balance of the year.

**Constellation Software: Fair Value Estimate Increased on More Positive Growth; Shares Fairly Valued** Alex Medow,Equity Analyst,17 Jun 2025

We are increasing our fair value estimate for narrow-moat Constellation Software to CAD 5,230 from CAD 3,550 as we transfer coverage of the company to a new analyst. We continue to view the company as a beneficiary of switching costs inherent in vertical market software, as well as intangible assets due to management's ability to source and acquire new businesses. Our revised fair value estimate is based on our belief that management can still increase the amount of capital it deploys at high rates of return, resulting in a 10-year revenue CAGR of 18.4%, compared with our previous 14.7% estimate.Constellation

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Software is one of the world's largest acquirers of vertical market software, with a portfolio of 1,000 businesses across 150 verticals. Its highly decentralized model allows each business to operate distinct from the rest. Acquired targets typically retain management, providing owners with a liquidity event while maintaining continuity of leadership within the firm. There is an expectation, however, that once acquired, the business will apply Constellation's best practices for operations, which have been refined over the past 30 years.We now forecast Constellation will grow the amount of capital it can deploy to slightly below $7 billion in 2034, representing a 16.4% CAGR. Previously, we anticipated that deployed capital would grow at a 7% CAGR. For reference, between 2016-24, net cash spent on acquisitions increased at a 30.7% CAGR. We expect the decision to lower hurdle rates to be more competitive on larger acquisitions, expansions into new and previously untapped geographies, and exploration of verticals beyond vertical market software will lead to higher capital deployment growth. As a result, we now forecast consolidated top-line annual growth to average 3.7% higher than our previous estimate, driving the jump in our fair value estimate.Correction: In an early version of the note, the percentage in the last line was given as 3.5% instead of 3.7%.

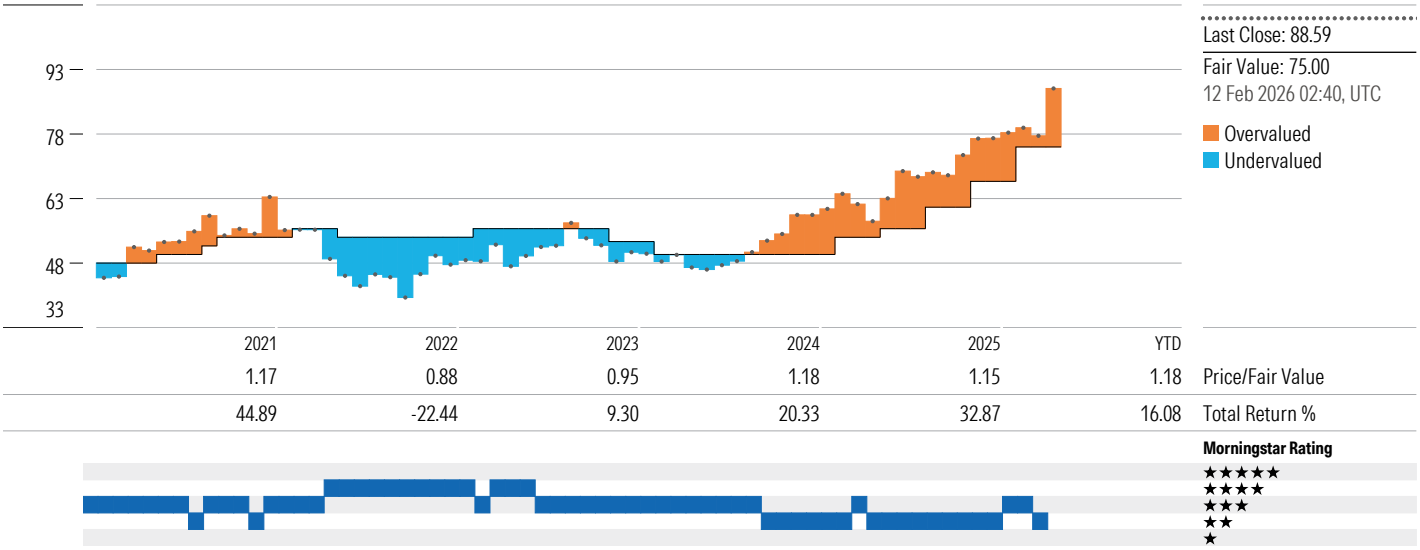
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## Competitors Price vs. Fair Value

### Cisco Systems Inc CSCO

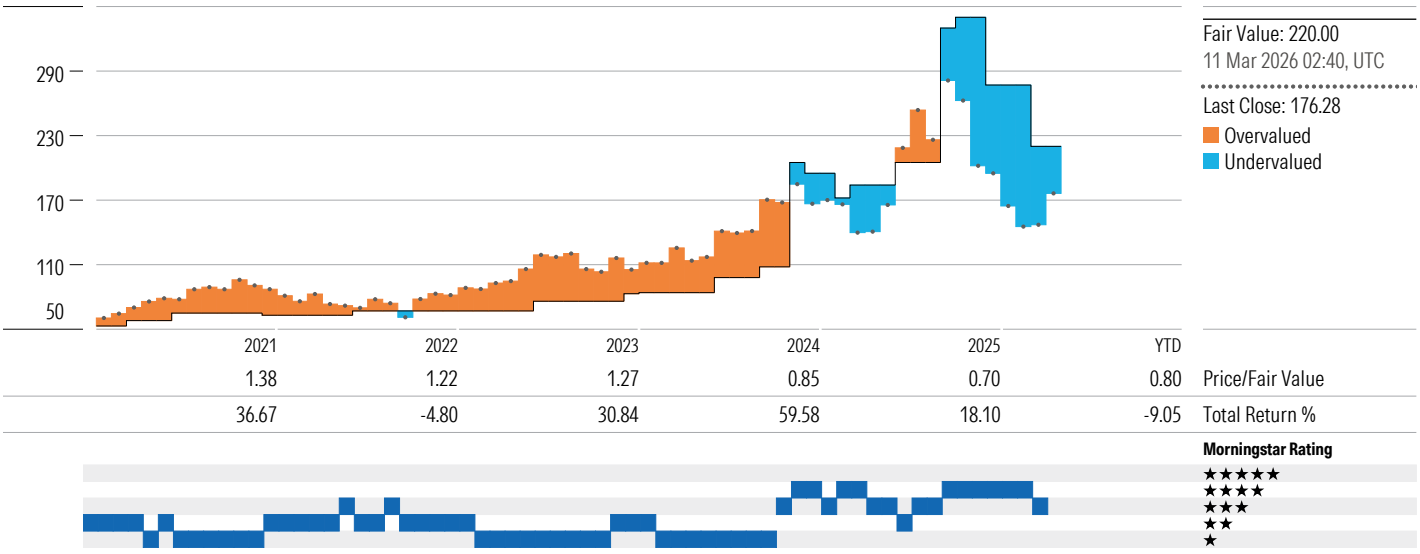



| | 2021 | 2022 | 2023 | 2024 | 2025 | YTD | |
|---|---|---|---|---|---|---|---|
| | 1.17 | 0.88 | 0.95 | 1.18 | 1.15 | 1.18 | Price/Fair Value |
| | 44.89 | -22.44 | 9.30 | 20.33 | 32.87 | 16.08 | Total Return % |




Total Return % as of 23 Apr 2026. Last Close as of 23 Apr 2026. Fair Value as of 12 Feb 2026 02:40, UTC.

### Oracle Corp ORCL




| | 2021 | 2022 | 2023 | 2024 | 2025 | YTD | |
|---|---|---|---|---|---|---|---|
| | 1.38 | 1.22 | 1.27 | 0.85 | 0.70 | 0.80 | Price/Fair Value |
| | 36.67 | -4.80 | 30.84 | 59.58 | 18.10 | -9.05 | Total Return % |




Total Return % as of 23 Apr 2026. Last Close as of 23 Apr 2026. Fair Value as of 11 Mar 2026 02:40, UTC.

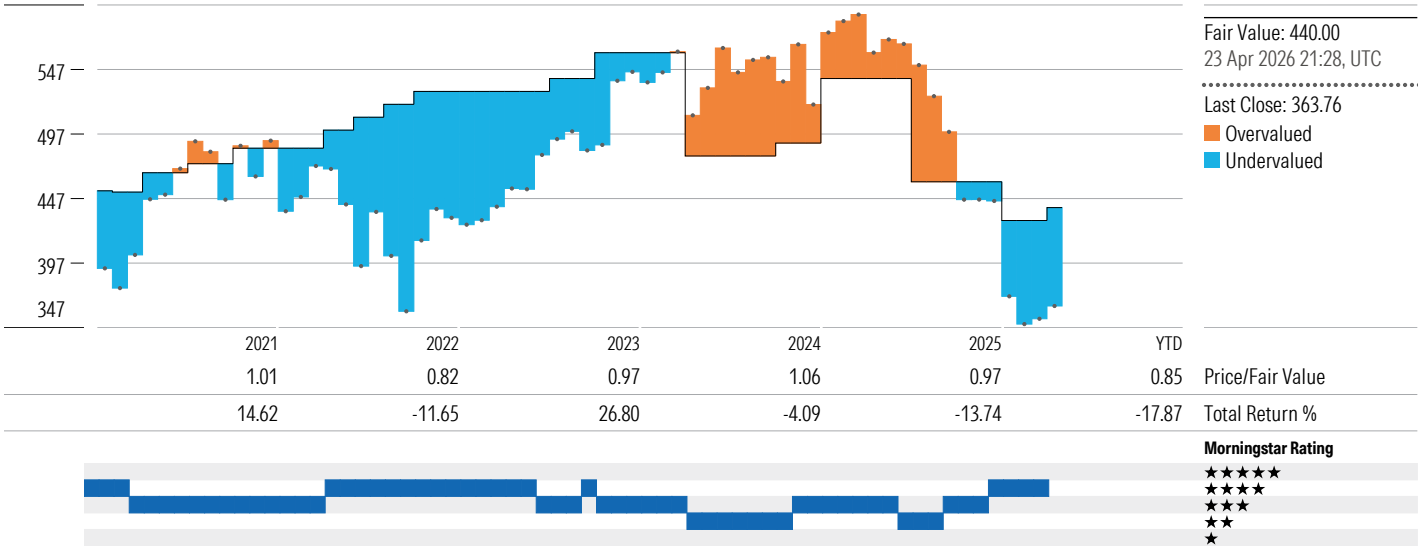
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## Competitors Price vs. Fair Value

**Roper Technologies Inc** ROP




| | 2021 | 2022 | 2023 | 2024 | 2025 | YTD | |
|---|---|---|---|---|---|---|---|
| | 1.01 | 0.82 | 0.97 | 1.06 | 0.97 | 0.85 | Price/Fair Value |
| | 14.62 | -11.65 | 26.80 | -4.09 | -13.74 | -17.87 | Total Return % |




Total Return % as of 23 Apr 2026. Last Close as of 23 Apr 2026. Fair Value as of 23 Apr 2026 21:28, UTC.

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## Morningstar Valuation Model Summary

**Financials** as of 12 Mar 2026

| Fiscal Year, ends 31 Dec | Actual 2023 | 2024 | 2025 | Forecast 2026 | 2027 | 2028 | 2029 | 2030 |
|---|---|---|---|---|---|---|---|---|
| Revenue (USD Mil) | 8,407 | 10,066 | 11,623 | 13,266 | 15,021 | 16,904 | 18,774 | 20,731 |
| Operating Income (USD Mil) | 1,187 | 1,463 | 1,894 | 2,160 | 2,254 | 2,740 | 3,263 | 3,762 |
| EBITDA (USD Mil) | 1,478 | 2,516 | 2,618 | 3,480 | 3,993 | 4,561 | 5,170 | 5,758 |
| Adjusted EBITDA (USD Mil) | 1,478 | 2,516 | 2,618 | 3,480 | 3,993 | 4,561 | 5,170 | 5,758 |
| Net Income (USD Mil) | 564 | 729 | 510 | 1,084 | 1,099 | 1,408 | 1,748 | 2,074 |
| Adjusted Net Income (USD Mil) | 2,153 | 1,946 | 2,091 | 2,932 | 3,446 | 3,912 | 4,413 | 4,922 |
| Free Cash Flow To The Firm (USD Mil) | 598 | 763 | 1,290 | 2,631 | 2,475 | 2,918 | 3,508 | 3,972 |
| Weighted Average Diluted Shares Outstanding (Mil) | 21 | 21 | 21 | 21 | 21 | 21 | 21 | 21 |
| Earnings Per Share (Diluted) (USD) | 26.60 | 34.39 | 24.06 | 51.12 | 51.86 | 66.41 | 82.43 | 97.83 |
| Adjusted Earnings Per Share (Diluted) (USD) | 101.56 | 91.79 | 98.63 | 138.31 | 162.54 | 184.53 | 208.18 | 232.15 |
| Dividends Per Share (USD) | 4.01 | 4.01 | 4.01 | 4.01 | 4.01 | 4.01 | 4.01 | 4.01 |

**Margins & Returns** as of 12 Mar 2026

| | 3 Year Avg | Actual 2023 | 2024 | 2025 | Forecast 2026 | 2027 | 2028 | 2029 | 2030 | 5 Year Avg |
|---|---|---|---|---|---|---|---|---|---|---|
| Operating Margin % | 9.6 | 14.1 | 14.5 | 16.3 | 16.3 | 15.0 | 16.2 | 17.4 | 18.1 | 13.6 |
| EBITDA Margin % | — | 17.6 | 25.0 | 22.5 | 26.2 | 26.6 | 27.0 | 27.5 | 27.8 | — |
| Adjusted EBITDA Margin % | — | 17.6 | 25.0 | 22.5 | 26.2 | 26.6 | 27.0 | 27.5 | 27.8 | 27.0 |
| Net Margin % | 6.1 | 6.7 | 7.2 | 4.4 | 8.2 | 7.3 | 8.3 | 9.3 | 10.0 | 8.6 |
| Adjusted Net Margin % | 21.0 | 25.6 | 19.3 | 18.0 | 22.1 | 22.9 | 23.1 | 23.5 | 23.7 | 23.1 |
| Free Cash Flow To The Firm Margin % | 8.6 | 7.1 | 7.6 | 11.1 | 19.8 | 16.5 | 17.3 | 18.7 | 19.2 | 18.3 |

**Growth & Ratios** as of 12 Mar 2026

| | 3 Year CAGR | Actual 2023 | 2024 | 2025 | Forecast 2026 | 2027 | 2028 | 2029 | 2030 | 5 Year CAGR |
|---|---|---|---|---|---|---|---|---|---|---|
| Revenue Growth % | 20.6 | 27.0 | 19.7 | 15.5 | 14.1 | 13.2 | 12.5 | 11.1 | 10.4 | 12.3 |
| Operating Income Growth % | 29.2 | 35.0 | 23.3 | 29.5 | 14.0 | 4.4 | 21.6 | 19.1 | 15.3 | 14.7 |
| EBITDA Growth % | 21.3 | -10.5 | 70.2 | 4.1 | 32.9 | 14.7 | 14.2 | 13.4 | 11.4 | 17.3 |
| Adjusted EBITDA Growth % | 16.6 | -10.5 | 70.2 | 4.1 | 32.9 | 14.7 | 14.2 | 13.4 | 11.4 | 17.1 |
| Earnings Per Share Growth % | 0.1 | 10.8 | 29.3 | -30.0 | 112.5 | 1.5 | 28.1 | 24.1 | 18.7 | 32.4 |
| Adjusted Earnings Per Share Growth % | 0.1 | 74.8 | -9.6 | 7.4 | 40.2 | 17.5 | 13.5 | 12.8 | 11.5 | 32.4 |

**Valuation** as of 12 Mar 2026

| | Actual 2023 | 2024 | 2025 | Forecast 2026 | 2027 | 2028 | 2029 | 2030 |
|---|---|---|---|---|---|---|---|---|
| Price/Earning | 24.5 | 33.7 | 24.4 | 12.7 | 10.8 | 9.6 | 8.5 | 7.6 |
| Price/Sales | 6.3 | 6.5 | 4.4 | 2.8 | 2.5 | 2.2 | 2.0 | 1.8 |
| Price/Book | 28.2 | 23.5 | 14.3 | 8.2 | 6.7 | 5.4 | 4.4 | 3.5 |
| Price/Cash Flow | — | — | — | — | — | — | — | — |
| EV/EBITDA | 37.3 | 27.0 | 20.5 | 11.5 | 10.0 | 8.8 | 7.7 | 6.9 |
| EV/EBIT | 46.4 | 46.4 | 28.3 | 18.5 | 17.7 | 14.6 | 12.3 | 10.6 |
| Dividend Yield % | 0.2 | 0.1 | 0.2 | 0.2 | 0.2 | 0.2 | 0.2 | 0.2 |
| Dividend Payout % | 4.0 | 4.4 | 4.1 | 2.9 | 2.5 | 2.2 | 1.9 | 1.7 |
| Free Cash Flow Yield % | — | — | — | — | — | — | — | — |

**Operating Performance / Profitability** as of 12 Mar 2026

| Fiscal Year, ends 31 Dec | Actual 2023 | 2024 | 2025 | Forecast 2026 | 2027 | 2028 | 2029 | 2030 |
|---|---|---|---|---|---|---|---|---|
| ROA % | 5.2 | 5.7 | 3.2 | 6.2 | 5.6 | 6.3 | 6.9 | 7.3 |
| ROE % | 28.8 | 22.2 | 12.0 | 20.6 | 17.5 | 18.5 | 18.9 | 18.4 |
| ROIC % | 16.5 | 15.8 | 16.1 | 15.7 | 15.0 | 15.5 | 16.0 | 16.3 |

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| **Financial Leverage** (Reporting Currency) | Actual | | | Forecast | | | | |
|---|---|---|---|---|---|---|---|---|
| **Fiscal Year,** ends 31 Dec | **2023** | **2024** | **2025** | **2026** | **2027** | **2028** | **2029** | **2030** |
| Debt/Capital % | 5.0 | 4.6 | 7.6 | 4.2 | 4.2 | 4.1 | 4.0 | 3.8 |
| Assets/Equity | 5.5 | 3.9 | 3.8 | 3.3 | 3.2 | 2.9 | 2.7 | 2.5 |
| Net Debt/EBITDA | 1.6 | 1.0 | 1.0 | 0.3 | 0.0 | -0.2 | -0.5 | -0.7 |
| Total Debt/EBITDA | 2.5 | 1.8 | 2.2 | 1.4 | 1.3 | 1.2 | 1.1 | 1.0 |
| EBITDA/ Net Interest Expense | 7.7 | 9.0 | 8.8 | 11.0 | 11.8 | 12.8 | 14.0 | 15.4 |

| **Forecast Revisions** as of 12 Mar 2026 | 2026 | | 2027 | | 2028 | |
|---|---|---|---|---|---|---|
| **Prior data** as of 22 Dec 2025 | **Current** | **Prior** | **Current** | **Prior** | **Current** | **Prior** |
| Fair Value Estimate Change (Trading Currency) | 3,600.00 | 3,799.65 | — | — | — | — |
| Revenue (USD Mil) | 13,266 | 11,602 | 15,021 | 13,348 | 16,904 | 15,238 |
| Operating Income (USD Mil) | 2,160 | 1,811 | 2,254 | 1,932 | 2,740 | 1,922 |
| EBITDA (USD Mil) | 3,480 | 2,620 | 3,993 | 3,288 | 4,561 | 3,827 |
| Net Income (USD Mil) | 2,932 | 2,379 | 3,446 | 2,803 | 3,912 | 3,345 |
| Earnings Per Share (Diluted) (USD) | 51.12 | 28.76 | 51.86 | 43.61 | 66.41 | 40.41 |
| Adjusted Earnings Per Share (Diluted) (USD) | 138.31 | 112.25 | 162.54 | 132.27 | 184.53 | 157.84 |
| Dividends Per Share (USD) | 4.01 | 4.01 | 4.01 | 4.01 | 4.01 | 4.01 |

**Key Valuation Drivers** as of 12 Mar 2026

| | |
|---|---|
| Cost of Equity % | 7.5 |
| Pre-Tax Cost of Debt % | 6.5 |
| Weighted Average Cost of Capital % | 7.4 |
| Long-Run Tax Rate % | 25.0 |
| Stage II EBI Growth Rate % | 8.8 |
| Stage II Investment Rate % | 55.5 |
| Perpetuity Year | 20 |

Additional estimates and scenarios available for download at https://pitchbook.com/.

**Discounted Cash Flow Valuation** as of 12 Mar 2026

| | **USD Mil** |
|---|---|
| Present Value Stage I | 28,488 |
| Present Value Stage II | 16,734 |
| Present Value Stage III | 58,891 |
| **Total Firm Value** | **104,113** |
| Cash and Equivalents | 3,744 |
| Debt | 5,365 |
| Other Adjustments | 0 |
| **Equity Value** | **102,492** |
| Projected Diluted Shares | 21 |
| **Fair Value per Share** (CAD) | **3,600.00** |

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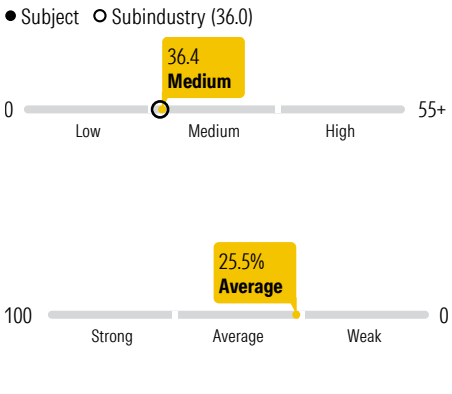
MORNINGSTAR®

# Constellation Software Inc CSU ★★★★★ 24 Apr 2026 21:53, UTC

| Last Price | Fair Value Estimate | Price/FVE | Market Cap | Economic Moat™ | Equity Style Box | Uncertainty | Capital Allocation | ESG Risk Rating Assessment[1] |
|---|---|---|---|---|---|---|---|---|
| 2,501.03 CAD<br>23 Apr 2026 | 3,600.00 CAD<br>13 Mar 2026 02:44, UTC | 0.69 | 51.09 CAD Bil<br>24 Apr 2026 | Narrow | Large Blend | Medium | Exemplary | 22 Apr 2026 05:00, UTC |

## ESG Risk Rating Breakdown

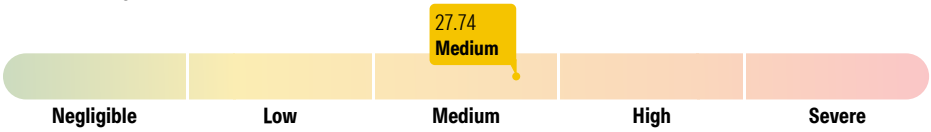
| | |
|---|---|
| **Exposure** | |
| Company Exposure[1] | 36.4 |
| – Manageable Risk | 33.7 |
| **Unmanageable Risk[2]** | **2.6** |
| **Management** | |
| Manageable Risk | 33.7 |
| – Managed Risk[3] | 8.6 |
| **Management Gap[4]** | **25.1** |
| **Overall Unmanaged Risk** | **27.7** |




- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

## ESG Risk Rating




ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 25.5% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

## ESG Risk Rating Assessment[5]



ESG Risk Rating is of Apr 22, 2026. Highest Controversy Level is as of Apr 08, 2026. Sustainalytics Subindustry: Enterprise and Infrastructure Software. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

## Peer Analysis 22 Apr 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

| Company Name | Exposure | | | Management | | | ESG Risk Rating | | |
|---|---|---|---|---|---|---|---|---|---|
| **Constellation Software Inc** | 36.4 \| Medium | 0 | 55+ | 25.5 \| Average | 100 | 0 | 27.7 \| Medium | 0 | 40+ |
| Cisco Systems Inc | 34.1 \| Low | 0 | 55+ | 75.6 \| Strong | 100 | 0 | 10.2 \| Low | 0 | 40+ |
| Roper Technologies Inc | 34.5 \| Low | 0 | 55+ | 41.3 \| Average | 100 | 0 | 21.3 \| Medium | 0 | 40+ |
| Oracle Corp | 35.0 \| Low | 0 | 55+ | 60.0 \| Strong | 100 | 0 | 15.4 \| Low | 0 | 40+ |
| Lumine Group Inc | 36.0 \| Medium | 0 | 55+ | 5.6 \| Weak | 100 | 0 | 34.1 \| High | 0 | 40+ |

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# Appendix

## Historical Morningstar Rating

**Constellation Software Inc** CSU 23 Apr 2026 22:54, UTC

| Dec 2026 | Nov 2026 | Oct 2026 | Sep 2026 | Aug 2026 | Jul 2026 | Jun 2026 | May 2026 | Apr 2026 | Mar 2026 | Feb 2026 | Jan 2026 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| — | — | — | — | — | — | — | — | ★★★★ | ★★★★★ | ★★★★★ | ★★★★★ |
| Dec 2025 | Nov 2025 | Oct 2025 | Sep 2025 | Aug 2025 | Jul 2025 | Jun 2025 | May 2025 | Apr 2025 | Mar 2025 | Feb 2025 | Jan 2025 |
| ★★★★ | ★★★★ | ★★★★★ | ★★★★ | ★★★★ | ★★★ | ★★★ | ★ | ★ | ★★ | ★ | ★ |
| Dec 2024 | Nov 2024 | Oct 2024 | Sep 2024 | Aug 2024 | Jul 2024 | Jun 2024 | May 2024 | Apr 2024 | Mar 2024 | Feb 2024 | Jan 2024 |
| ★ | ★ | ★ | ★ | ★ | ★ | ★ | ★ | — | — | — | — |
| Dec 2023 | Nov 2023 | Oct 2023 | Sep 2023 | Aug 2023 | Jul 2023 | Jun 2023 | May 2023 | Apr 2023 | Mar 2023 | Feb 2023 | Jan 2023 |
| — | — | — | — | — | — | — | — | — | — | — | — |
| Dec 2022 | Nov 2022 | Oct 2022 | Sep 2022 | Aug 2022 | Jul 2022 | Jun 2022 | May 2022 | Apr 2022 | Mar 2022 | Feb 2022 | Jan 2022 |
| — | — | — | — | — | — | — | — | — | — | — | — |
| Dec 2021 | Nov 2021 | Oct 2021 | Sep 2021 | Aug 2021 | Jul 2021 | Jun 2021 | May 2021 | Apr 2021 | Mar 2021 | Feb 2021 | Jan 2021 |
| — | — | — | — | — | — | — | — | — | — | — | — |

**Cisco Systems Inc** CSCO 23 Apr 2026 21:25, UTC

| Dec 2026 | Nov 2026 | Oct 2026 | Sep 2026 | Aug 2026 | Jul 2026 | Jun 2026 | May 2026 | Apr 2026 | Mar 2026 | Feb 2026 | Jan 2026 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| — | — | — | — | — | — | — | — | ★★ | ★★★ | ★★★ | ★★ |
| Dec 2025 | Nov 2025 | Oct 2025 | Sep 2025 | Aug 2025 | Jul 2025 | Jun 2025 | May 2025 | Apr 2025 | Mar 2025 | Feb 2025 | Jan 2025 |
| ★★ | ★★ | ★★ | ★★ | ★★ | ★★ | ★★ | ★★ | ★★★ | ★★ | ★★ | ★★ |
| Dec 2024 | Nov 2024 | Oct 2024 | Sep 2024 | Aug 2024 | Jul 2024 | Jun 2024 | May 2024 | Apr 2024 | Mar 2024 | Feb 2024 | Jan 2024 |
| ★★ | ★★ | ★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ |
| Dec 2023 | Nov 2023 | Oct 2023 | Sep 2023 | Aug 2023 | Jul 2023 | Jun 2023 | May 2023 | Apr 2023 | Mar 2023 | Feb 2023 | Jan 2023 |
| ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★ | ★★★★ | ★★★★ |
| Dec 2022 | Nov 2022 | Oct 2022 | Sep 2022 | Aug 2022 | Jul 2022 | Jun 2022 | May 2022 | Apr 2022 | Mar 2022 | Feb 2022 | Jan 2022 |
| ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★ | ★★★ | ★★★ | ★★★ |
| Dec 2021 | Nov 2021 | Oct 2021 | Sep 2021 | Aug 2021 | Jul 2021 | Jun 2021 | May 2021 | Apr 2021 | Mar 2021 | Feb 2021 | Jan 2021 |
| ★★ | ★★★ | ★★★ | ★★★ | ★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ |

**Oracle Corp** ORCL 23 Apr 2026 21:24, UTC

| Dec 2026 | Nov 2026 | Oct 2026 | Sep 2026 | Aug 2026 | Jul 2026 | Jun 2026 | May 2026 | Apr 2026 | Mar 2026 | Feb 2026 | Jan 2026 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| — | — | — | — | — | — | — | — | ★★★ | ★★★★ | ★★★★ | ★★★★ |
| Dec 2025 | Nov 2025 | Oct 2025 | Sep 2025 | Aug 2025 | Jul 2025 | Jun 2025 | May 2025 | Apr 2025 | Mar 2025 | Feb 2025 | Jan 2025 |
| ★★★★ | ★★★★ | ★★★★ | ★★★ | ★★★ | ★★ | ★★★ | ★★★ | ★★★★ | ★★★★ | ★★★ | ★★★★ |
| Dec 2024 | Nov 2024 | Oct 2024 | Sep 2024 | Aug 2024 | Jul 2024 | Jun 2024 | May 2024 | Apr 2024 | Mar 2024 | Feb 2024 | Jan 2024 |
| ★★★★ | ★★★ | ★ | ★ | ★ | ★ | ★ | ★ | ★ | ★ | ★★ | ★★ |
| Dec 2023 | Nov 2023 | Oct 2023 | Sep 2023 | Aug 2023 | Jul 2023 | Jun 2023 | May 2023 | Apr 2023 | Mar 2023 | Feb 2023 | Jan 2023 |
| ★★ | ★ | ★ | ★ | ★ | ★ | ★ | ★ | ★ | ★ | ★★ | ★★ |
| Dec 2022 | Nov 2022 | Oct 2022 | Sep 2022 | Aug 2022 | Jul 2022 | Jun 2022 | May 2022 | Apr 2022 | Mar 2022 | Feb 2022 | Jan 2022 |
| ★★ | ★★ | ★★ | ★★★ | ★★ | ★★ | ★★★ | ★★ | ★★ | ★★ | ★★ | ★★ |
| Dec 2021 | Nov 2021 | Oct 2021 | Sep 2021 | Aug 2021 | Jul 2021 | Jun 2021 | May 2021 | Apr 2021 | Mar 2021 | Feb 2021 | Jan 2021 |
| ★ | ★ | ★ | ★ | ★ | ★ | ★★ | ★ | ★★ | ★★ | ★★ | ★★ |

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**Roper Technologies Inc** ROP 23 Apr 2026 21:32, UTC

| Dec 2026 | Nov 2026 | Oct 2026 | Sep 2026 | Aug 2026 | Jul 2026 | Jun 2026 | May 2026 | Apr 2026 | Mar 2026 | Feb 2026 | Jan 2026 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| — | — | — | — | — | — | — | — | ★★★★ | ★★★★ | ★★★★ | ★★★★ |
| Dec 2025 | Nov 2025 | Oct 2025 | Sep 2025 | Aug 2025 | Jul 2025 | Jun 2025 | May 2025 | Apr 2025 | Mar 2025 | Feb 2025 | Jan 2025 |
| ★★★ | ★★★ | ★★★ | ★★ | ★★ | ★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ |
| Dec 2024 | Nov 2024 | Oct 2024 | Sep 2024 | Aug 2024 | Jul 2024 | Jun 2024 | May 2024 | Apr 2024 | Mar 2024 | Feb 2024 | Jan 2024 |
| ★★★ | ★★ | ★★ | ★★ | ★★ | ★★ | ★★ | ★★ | ★★★ | ★★★ | ★★★ | ★★★ |
| Dec 2023 | Nov 2023 | Oct 2023 | Sep 2023 | Aug 2023 | Jul 2023 | Jun 2023 | May 2023 | Apr 2023 | Mar 2023 | Feb 2023 | Jan 2023 |
| ★★★ | ★★★ | ★★★★ | ★★★ | ★★★ | ★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ |
| Dec 2022 | Nov 2022 | Oct 2022 | Sep 2022 | Aug 2022 | Jul 2022 | Jun 2022 | May 2022 | Apr 2022 | Mar 2022 | Feb 2022 | Jan 2022 |
| ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★ | ★★★ | ★★★ | ★★★ |
| Dec 2021 | Nov 2021 | Oct 2021 | Sep 2021 | Aug 2021 | Jul 2021 | Jun 2021 | May 2021 | Apr 2021 | Mar 2021 | Feb 2021 | Jan 2021 |
| ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★★ | ★★★★ | ★★★★ |

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# Research Methodology for Valuing Companies

## Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

## 1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

## 2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

### Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

### Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

### Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

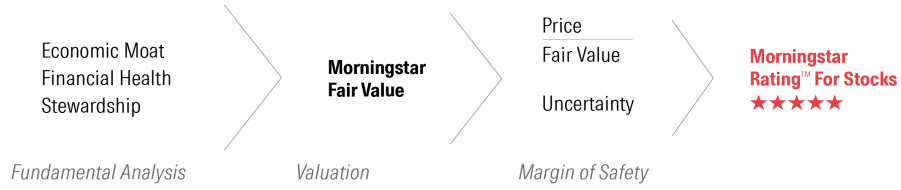
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

## 3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

**Morningstar Equity Research Star Rating Methodology**




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# Research Methodology for Valuing Companies

outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

| | Margin of Safety | |
|---|---|---|
| Qualitative Analysis Uncertainty Ratings | ★★★★★Rating | ★Rating |
| Low | 20% Discount | 25% Premium |
| Medium | 30% Discount | 35% Premium |
| High | 40% Discount | 55% Premium |
| Very High | 50% Discount | 75% Premium |
| Extreme | 75% Discount | 300% Premium |

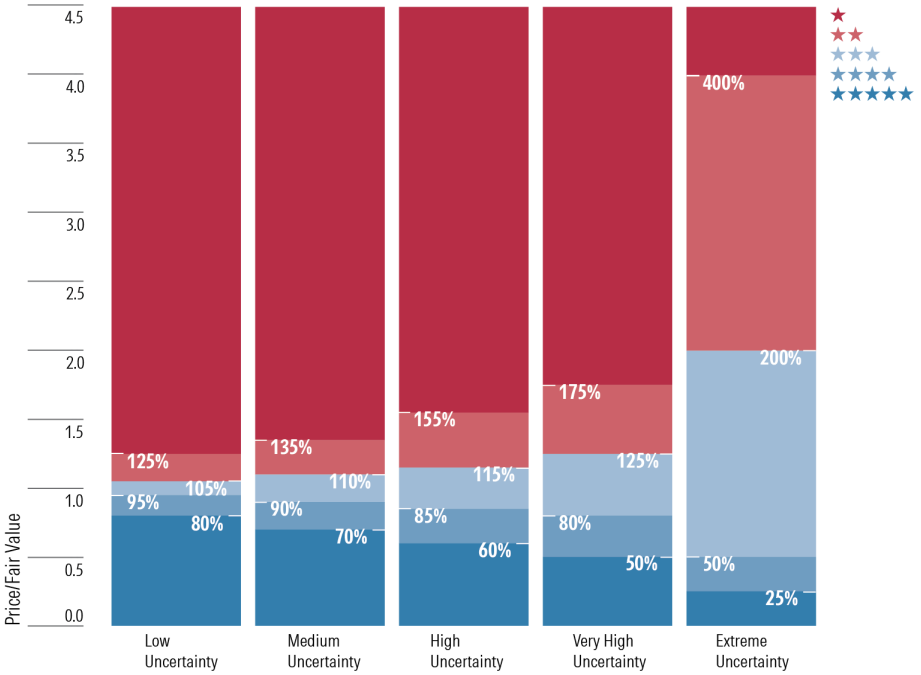
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

### 4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

**Morningstar Equity Research Star Rating Methodology**




### Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

### Other Definitions

**Last Price:** Price of the stock as of the close of the market of the last trading day before date of the report.

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Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

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The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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